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Product Metrics Assignment

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Problem Statement

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DESCRIPTION

You have recently joined as the Product Manager (Analytics) at **Zoom**, which is one of the fastest-growing SaaS startups. Zoom is the leader in modern enterprise video communications, which provides a cloud platform for video and audio conferencing, collaboration, chat, and webinars. It helps businesses and organisations bring their teams together in a frictionless environment. Your project at Zoom is to identify the relevant metrics that you will monitor for the different stages.

ELEMENTS TO CONSIDER

In one of the previous sessions, you learnt the **AARRR framework** for prioritisation of metrics. It is a common framework, which was proposed by Dave Mcclure. AARRR, which stands for acquisition, activation, retention, referral and revenue are the different stages of a user's journey through your product. You can use this framework to find the relevant metrics for Zoom.

Assignment Instructions

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DELIVERABLES

1. You have to **identify all the relevant metrics** that Zoom should monitor across the lifecycle of the product. You also need to provide a brief explanation for choosing each metric.

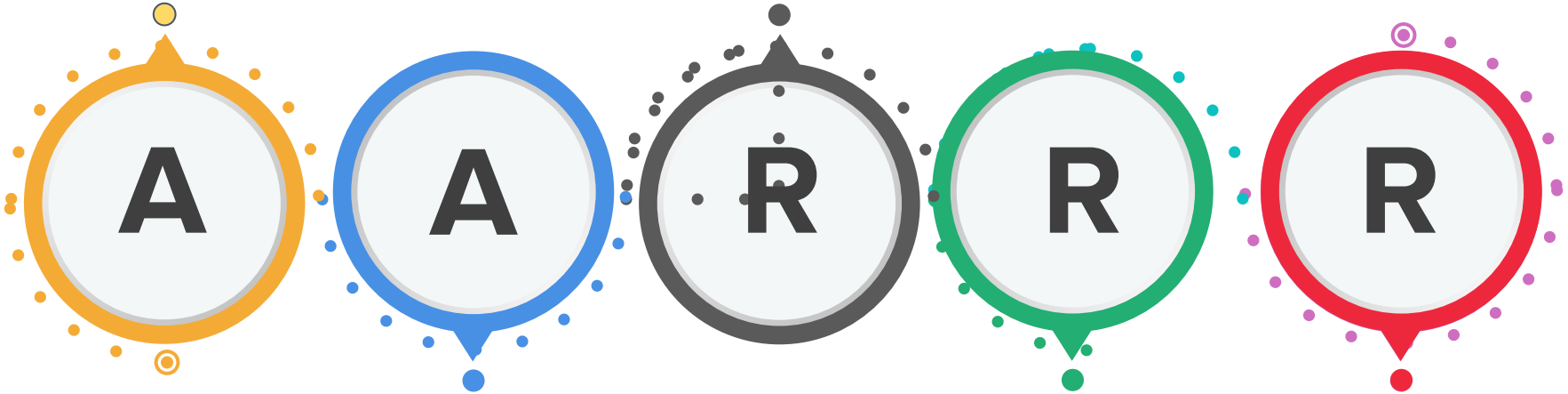
SUBMISSION GUIDELINES

1. In your final submission, identify the relevant metrics (along with an explanation of why you will use them).
2. Make a copy of this presentation and add your responses in the next few slides.
3. Convert this presentation into **PDF format** for the final submission.

Recap - AARRR Framework

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Acquisition **Retention**



Activation **Revenue** **Referral**

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Identifying the relevant metrics for Zoom based on the AARRR Framework

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Acquisition Metrics

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Sl. No.	Metric	Description	Why this Metric?
1	**Customer Acquisition Cost (CAC)**	Total sales & marketing spend in a period divided by the number of new sign-ups acquired in that period; blends paid campaigns, content, and partnership costs into one figure.	Shows the growth team whether a channel is scaling efficiently before any revenue is realised. Leadership compares it against LTV every quarter to decide where next quarter's budget should go.
2	**Sign-up Conversion Rate**	Percentage of website or app visitors who complete free-account creation: new free accounts divided by unique visitors.	Because Zoom's growth engine is largely self-serve, this flags friction on the landing page or sign-up form before a user ever reaches the product, so PMs can prioritise fixes at the very top of the funnel.
3	**Cost per Trial / Webinar Registration**	Marketing spend on a channel divided by the number of trial sign-ups or webinar registrations that channel produced.	Enterprise deals usually start with a webinar or sales-assisted trial rather than a self-serve click. This lets Marketing and Sales compare ROI for the mid-funnel motion that eventually drives paid seats.
4	**Organic vs Paid New-Account Share**	Proportion of new accounts in a period attributable to organic sources (SEO, direct, referral) versus paid acquisition.	A rising organic share signals brand strength and lowers blended CAC over time. Tracking it weekly helps Growth decide when it is safe to pull back paid spend without slowing overall sign-ups.

***You can add more rows at the bottom if needed.**

Activation Metrics

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Sl. No.	Metric	Description	Why this Metric?
1	**Time to First Meeting Hosted**	Median time elapsed between account creation and the first meeting a new user actually hosts, not merely joins.	Hosting is where a new user experiences Zoom's core value. A fast time-to-host is the strongest early predictor of whether an account will stick, so PMs treat it as the main lever to shorten during onboarding.
2	**First-Session Feature Adoption Rate**	Share of new accounts that use at least one core collaboration feature (screen share, chat, or recording) during their first hosted meeting.	Reveals whether users are discovering what differentiates Zoom beyond basic video calling. A low rate points Product toward specific onboarding tooltips or defaults worth testing.
3	**Multi-Participant Activation Rate**	Percentage of new accounts whose first hosted meeting includes two or more participants, rather than a solo test call.	Zoom's value compounds through the people on a call. This separates a genuine activation event from account-creation noise, which a raw 'first meeting hosted' number cannot do on its own.
4	**Invite-Sent Rate on Day 1**	Percentage of new users who send at least one meeting invite within their first 24 hours on the platform.	Invites are the mechanism that pulls real participants into a new user's first session. A low invite rate tells the product team the invite flow itself, not the meeting experience, needs simplifying.

***You can add more rows at the bottom if needed.**

Retention Metrics

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Sl. No.	Metric	Description	Why this Metric?
1	**DAU/MAU Stickiness Ratio**	Daily active hosts or participants divided by monthly active hosts or participants, expressed as a percentage.	For a workday tool like Zoom, this indicates habitual use rather than occasional use. Executives use it as a quick weekly pulse check on overall product health.
2	**Cohort Retention at Week 4**	Percentage of a sign-up cohort still hosting or joining at least one meeting in week four, indexed against their week-one activity.	Isolates whether the product genuinely embeds into a team's weekly workflow versus being tried once. It is the metric Product uses to confirm whether an onboarding or feature change actually improved long-term stickiness.
3	**Logo Churn Rate (Paid Accounts)**	Number of paying accounts that cancel or downgrade to free in a period, divided by total paying accounts at the start of that period.	Revenue growth means little if churn is quietly eroding the base. Customer Success and Product jointly own this number because it surfaces at-risk accounts before they cancel, not after.

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Revenue Metrics

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Sl. No.	Metric	Description	Why this Metric?
1	**Monthly Recurring Revenue (MRR)**	Sum of normalised monthly subscription revenue across all paid tiers (Pro, Business, Enterprise), adjusted for upgrades, downgrades, and cancellations.	The single number Finance and leadership review every week to gauge the health of the subscription business and forecast progress toward annual targets.
2	**Free-to-Paid Conversion Rate**	Percentage of free/Basic accounts that upgrade to a paid plan within a defined window, e.g. 90 days of sign-up.	The bridge metric between activation and revenue in a PLG funnel. Product and Growth use it to test whether in-product paywalls, like the 40-minute group meeting limit, actually convert usage into willingness to pay.
3	**Average Revenue Per Account (ARPA)**	Total recurring revenue divided by the number of paying accounts in a period, often segmented by plan tier or company size.	Tells the business whether growth is coming from more customers or bigger customers, guiding whether Sales should expand seats within existing accounts or Marketing should chase new-logo volume.

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Referral Metrics

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Sl. No.	Metric	Description	Why this Metric?
1	**Net Promoter Score (NPS)**	Survey-based score, percentage promoters minus percentage detractors, collected periodically from account admins and hosts.	A leading indicator that correlates with future referral and renewal behaviour, and one of the few qualitative signals executives track alongside hard usage numbers.
2	**Viral / Invite Coefficient (K-factor)**	Average number of new users each existing user brings in: invites sent per user multiplied by the conversion rate of those invites.	Most people first experience Zoom as a guest invited to someone else's meeting. K-factor quantifies this built-in viral loop and tells Growth how much acquisition to expect without paid spend.
3	**Guest-to-Host Conversion Rate**	Percentage of meeting guests who joined without an account and later create their own free Zoom account.	Zoom-specific signal: every invite a host sends is effectively a product demo to a non-user. This measures how efficiently that exposure turns into new sign-ups, informing where to place prompts for guests.
4	**Referral Program Revenue Contribution**	Revenue from paid accounts that originated through a referral program or partner/affiliate link, divided by total new revenue in the period.	Shows Finance and Growth how much of the paid pipeline is generated at near-zero acquisition cost, justifying continued investment in referral incentives relative to paid channels.

***You can add more rows at the bottom if needed.**

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